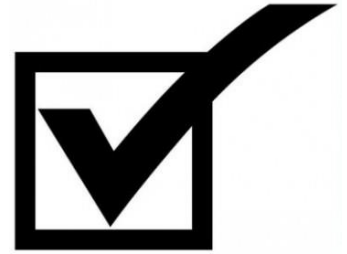


**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



Managerial Accounting

(135)

STATE 2025

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (33 points)

Problem 1: CVP Analysis _____ (30 points)

Problem 2: Variable Costing _____ (30 points)

TOTAL POINTS _____ ***(123 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

- | | | |
|------|-------|-------|
| 1. B | 6. C | 11. C |
| 2. C | 7. A | 12. B |
| 3. D | 8. C | 13. B |
| 4. C | 9. C | 14. A |
| 5. B | 10. C | 15. D |

Short Answer (11 @ 3 points each = 33 points)

1. The following income statement is provided for Timberwolves Co. Timberwolves produced and sold 2,400 units in March.

What is the company's contribution margin for March?	\$25,200
What is the company's contribution margin per unit?	\$10.50

2. Raptors is an Internet service provider that is particularly popular with college students. The company is interested in estimating the fixed and variable components of its technical support costs. The manager believes these costs are driven by the number of support hours given. The following information was gathered for the last six months of business:

Use the high-low method to estimate the variable cost per hour.	\$25
Use the high-low method to estimate the total fixed cost.	\$17,500
If Raptors provides 3,200 hours of technical support, what is the estimated technical support costs?	\$97,500

3. Clippers Corp. has expected sales ranging from \$170,000 to \$200,000. Variable costs and their percentage relationships are: Sales commissions 5%, Advertising 4%, Traveling 3%, and Supplies 8%. Fixed expenses are Salaries \$34,000, Depreciation \$7,000, and Insurance \$1,000.

If sales are \$180,000 what are the total variable costs expected to be?	\$36,000
If sales are \$180,000 what are the total fixed costs expected to be?	\$42,000
If sales are \$180,000 what is profit expected to be?	\$102,000

4. Thunder Corporation produces and sells a single product for \$140. The variable costs are \$84 per unit. The company is currently selling 5300 units per month. Fixed expenses are \$185,000 per month. The marketing manager believes that a \$5300 increase in the monthly advertising budget would result in a 200 unit increase in monthly sales.

What would Thunder's net income be after this change?	\$117,700
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5. Pacers Inc. currently has sales of \$273,600, a contribution margin of \$150,480, and net operating income of \$100,820.

What is the Pacers' degree of operating leverage?	1.49
How much Pacers net income increase by if sales increase by 15%?	22.4%

Problem 1: Cost-Volume Profit Analysis (30 Points)

Grader: Each answer is worth 5 points

Contribution margin per unit	\$32
Contribution margin ratio	64%
Required sales in units to break-even	532
Sales revenue required to break-even	\$26,562.50
Required sales in units to earn \$5,000 profit	688
Sales revenue required to earn \$5,000 of profit	\$34,375

Problem 2: Variable Costing (30 Points)**Grader: Each answer is worth 5 points**

What is the product cost per tie under absorption costing?	\$23
What is the product cost per tie under variable costing?	\$17
What is gross profit under absorption costing?	\$208,000
What is the contribution margin under variable costing?	\$256,000
What is net income under absorption costing?	\$183,000
What is net income under variable costing?	\$171,000